Question #1 of 58

Question ID: 1674608

Which of the following statements regarding activist investing as a form of shareholder engagement is correct?

Statement 1:	Activist investing is used to reduce the free rider problem.
Statement 2:	Activist investors may seek to obtain representation on a company's board of directors through a proxy contest.

A) Statement 1 only.

B) Statement 2 only.

C) Both Statement 1 and Statement 2.

Question #2 of 58

Question ID: 1674567

Which of the following statements regarding using equities as an inflation hedge is *most accurate*? They have been a good inflation hedge:

A) in many countries over a short time span.

B) in many countries over a long time span.

C) but only in the United States for a short time span.

Question #3 of 58

Question ID: 1674577

A portfolio manager is planning to invest in an emerging market's small-cap index. Which of the following equity universe segmentation approaches does this market index combine?

A) Size/style and geographic segmentation.

B) Size/style and economic activity segmentation.

C) Geographic and economic activity segmentation.

Question #4 of 58

Question ID: 1674574

Pristine Asset Management Company (PAMCO) recently launched an environmental, social, and governance (ESG) fund that invests in the shares of companies focusing on renewable energy. PAMCO's approach to ESG investing would be *best* described as:

A) positive screening.

B) a best-in-class approach.

C) thematic investing.

Question #5 of 58

Question ID: 1674604

Shareholder engagement involves the active interaction in company affairs by investors. Which of the following issues is *least likely* to be discussed when shareholders engage with companies?

A) Succession planning of the board of directors.

B) Internal controls.

C) Hiring policies for senior management.

Question #6 of 58

Question ID: 1674587

Which of the following statements regarding the segmentation of the equity investment universe is correct?

Statement 1:	An advantage of segmentation by size and style is that it ensures consistent categorization across investors.
Statement 2:	A shortcoming of segmentation by geography is that an investment in a foreign market may offer lower-than-expected exposure to that market.

A) Both Statement 1 and Statement 2.

B) Statement 1 only.

C) Statement 2 only.

Question #7 of 58

Question ID: 1674618

An investment analyst makes the following statements about equity investment management:

Statement 1:	Investment strategies with a narrow investment focus tend to be managed passively rather than actively.
Statement 2:	Relative to active managers, key person risk is more of a concern for passive managers.

Which of the analyst's statements is correct?

A) Neither Statement 1 nor Statement 2.

B) Statement 2 only.

C) Statement 1 only.

Question #8 of 58

Question ID: 1674617

The Highlife Fund seeks to track the performance of the FTSE U.K. Equity Income Index. The prospectus states that the fund invests in all of the constituent shares of the index in the same proportion as the index. Turnover in the fund is generally limited to rebalancing trades to minimize trading costs. The fund is *most likely* to be managed:

A) to generate positive alpha.

B) actively.

C) passively.

Question #9 of 58

Question ID: 1674573

Anne Townsend manages an equity portfolio with a lower-than-average risk tolerance. If the investment goal of the portfolio is to generate a stable income stream, Townsend is *most likely* to invest in shares of:

A) technology start-ups.

B) large, older companies.

C) commodity-producing companies.

Question #10 of 58

Question ID: 1674589

Which of the following trading costs results when an order is not filled?

A) Opportunity costs.

B) Market impact costs.

C) Price impact costs.

Question #11 of 58

Question ID: 1674613

Which of the following equity investment portfolios would *most likely* be passively managed?

A) Emerging-markets small-cap value portfolio.

B) World large-cap growth portfolio.

C) USA consumer defensive sector portfolio.

Question #12 of 58

Question ID: 1674565

You are trying to explain the benefits of including equities in a portfolio strategy. It would be correct for you to say that:

A) dividend yields tend to be more stable than other return contributors.

B) the available risk reduction offered by correlation differences is relatively constant across time.

C) equities are negatively correlated with inflation during periods of mild inflation.

Question #13 of 58

Question ID: 1674602

An investor who seeks to actively influence specific companies is *least likely* to:

A) be an activist investor.

B) start a proxy voting.

C) lend securities.

Question #14 of 58

Question ID: 1674575

Which of the following statements regarding the role of equities as a hedge against inflation is correct?

Statement 1:	For equities to be used as a hedge against inflation, real returns on equity should be negatively correlated with inflation.
Statement 2:	Equities have been successfully used as a hedge against inflation because the correlation between real returns on equity and inflation is relatively constant over time.

A) Neither Statement 1 nor Statement 2.

B) Statement 2 only.

C) Statement 1 only.

Question #15 of 58

Question ID: 1674611

Which of the following statements regarding active management is correct?

A) It is more likely to have a benchmark that is liquid.

B) It is more likely to have greater tax efficiency than passive management.

C) It is more likely to benefit portfolios investing in companies in large-cap and/or developed markets.

Question #16 of 58

Question ID: 1674595

Active management may demand or provide liquidity to equity markets. Which of the following active investment strategies would *most likely* demand liquidity from the market?

A) Buy-and-hold strategies.

B) Deep value strategies.

C) Momentum strategies.

Mary Grifton manages the equity portfolio for a large wealth management firm, Vanfree Investors. She presents to the firm's investors on the roles of equities in an overall portfolio, the types of equity investors, and the costs associated with managing an equity portfolio. In the question-and-answer section of the presentation, the firm's investors ask a few questions, to which Grifton responds as follows:

Question 1:	In the event of a financial crisis similar to that of 2008, how will equities provide diversification?
Grifton:	Although the stand-alone risk of equities, as approximated by the standard deviation, will likely increase, I expect that correlations will fall such that the diversification benefit from equities will increase during a crisis.
Question 2:	I know that equity as an asset class tends to have greater risk than debt, but what are the typical characteristics of an equity investor who has low risk tolerance?
Grifton:	While I cannot comment on any particular investor's investment policy statement during this presentation, the typical investor with low risk tolerance favors an equity style that is tilted toward growth stocks. The investor tends to prefer stocks that pay a high dividend yield. Lastly, relative to other investors, low risk tolerance investors have a greater preference for Vanfree's actively managed mutual funds over our passive funds. They favor them in the expectation that we can generate high risk-adjusted returns—which, over the past quarter, we have been very successful in doing.
Question 3:	Due to my negative experience with levered portfolios, I have placed limits on the amount of leverage that can be used in my account. I was charged a fee related to this in my most recent Vanfree account statement. What is this fee, and why am I being charged?

Grifton:	Vanfree charges a fee for helping ensure that the custodian limits the leverage in our clients' accounts. This helps restrict leverage so that a client does not have the same experiences that you have had.

After her presentation, Grifton reviews the objectives and trading costs of three Vanfree funds that invest in U.S. equity:

1. The Accelerators Fund takes long positions in stocks that have had consecutive monthly price increases in the preceding nine months.
2. The Universal Index Fund is a passive fund that invests in a market index on a market capitalization basis.
3. The New Tomorrow Fund invests in stocks that have fallen out of favor (as reflected by past declines in price), but which are positioned for recovery.

Question #17 - 20 of 58

Question ID: 1674620

In Grifton's response to Question 1, her response is *most accurate* regarding:

A) the correlations.

B) the standard deviations.

C) the diversification benefit from equities.

Question #18 - 20 of 58

Question ID: 1674621

In Grifton's response to Question 2, which of the following is *most accurate* regarding the typical investor with low risk tolerance?

A) Their typical equity style preference.

B) Their typical dividend yield preference.

C) Their typical type of mutual fund investment.

Question #19 - 20 of 58

Question ID: 1674622

In Grifton's response to Question 3, the fee that the client and Grifton reference is *most likely*:

A) a custody fee.

B) a depository fee.

C) a registration fee.

Question #20 - 20 of 58

Question ID: 1674623

Which of the following Vanfree funds is *most likely* to supply liquidity to the market?

A) The Accelerators Fund.

B) The Universal Index Fund.

C) The New Tomorrow Fund.

Question #21 of 58

Question ID: 1674585

A fund analyst makes the following statements relating to segmentation of the equity investment universe:

Statement 1:	When segmenting by size and style, each company will be classified as either growth or value.
Statement 2:	A downside of geographic segmentation is the potential currency risk from investing in international equity markets.
Statement 3:	Segmenting by economic activity hinders the construction of performance benchmarks for specific sectors by active equity managers.

Which of the analyst's statements is *most accurate*?

A) Statement 3.

B) Statement 2.

C) Statement 1.

Question #22 of 58

Question ID: 1674588

The MSCI EAFE Small Cap Growth Index combines segmentation of the equity investment universe by:

A) geography and economic activity.

B) size, style, and geography.

C) size, style, and economic activity.

Question #23 of 58

Question ID: 1674582

Equity segmentation based upon economic activity:

A) classifies companies neatly into a single category.

B) enables granular benchmark construction.

C) promotes diversification within a given sector/industry.

Question #24 of 58

Question ID: 1674603

Which of the following is correct with respect to shareholder engagement?

A) Passive managers routinely engage in shareholder engagement.

B) Shareholder engagement increases the risk of insider trading activity.

C) Shareholder engagement primarily benefits those investors who are actively involved in the process.

Question #25 of 58

Question ID: 1674593

A wealth manager is researching the potential sources of income from owning and managing an equity portfolio. Which of the following actions are required if the manager wishes to generate income from a dividend capture strategy? The manager should:

A) sell put options on equities.

B) transfer equities to another investor.

C) buy and hold equities for a short period of time.

Question #26 of 58

Question ID: 1674568

Which of the following is *most accurate* regarding using equities as an inflation hedge?

A) Their ability to hedge is unaffected by taxes.

B) The historical record is impressive as to their effectiveness.

C) The effectiveness of an individual stock as a hedge depends on its product market.

Question #27 of 58

Question ID: 1674601

The hidden trading cost from potential predatory trading that equity index funds face is *most likely* a:

A) stock borrowing cost.

B) market impact cost.

C) brokerage commission cost.

Question #28 of 58

Question ID: 1674616

Benjamin Sibley is a high-net-worth investor who wishes to incorporate environmental, social, and governance (ESG) considerations into his equity portfolio through positive screening. Sibley has also indicated that his portfolio should be diversified across countries with developed markets. Based on these criteria, the manager of Sibley's equity portfolio is *most likely* to:

A) use an active management approach.

B) select investments by excluding companies that deviate from accepted standards.

C) pursue a closet index approach.

Question #29 of 58

Question ID: 1674596

An investment analyst makes the following statements when discussing potential sources of income for an equity portfolio:

Statement 1:	Dividend capture is a trading strategy where an investor buys a stock just before its ex-dividend date, holds the stock through the ex-dividend date to be entitled to receive the dividend payment, and then sells the stock.
Statement 2:	When a company pays an optional stock dividend to an investor, the investor may be able to monetize the option to receive a cash or stock dividend as a source of income for the portfolio.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2.

B) Statement 1 only.

C) Statement 2 only.

Question #30 of 58

Question ID: 1674598

A fund analyst makes the following statements related to writing options as a source of income for an equity fund:

Statement 1:	Covered call writing generates income for the fund, but it limits the upside from price appreciation of the underlying shares.
Statement 2:	Writing cash-covered puts generates income for the fund, but the fund may be required to purchase shares at a premium to their market price.

Which of the analyst's statements is correct?

A) Statement 1 only.

B) Statement 2 only.

C) Both Statement 1 and Statement 2.

Question #31 of 58

Question ID: 1674580

You are considering including geographic dispersion in your diversification approach. Which of the following is the *most correct* statement?

A) Geographic segmentation enables domestic investors to target risk exposures.

B) Inflation risk is the most notable additional risk carried by this approach.

C) Diversification will always be enhanced by including international elements.

Question #32 of 58

Question ID: 1674566

Client investment constraints are increasingly including an ESG component. Which of the following statements is correct relative to an ESG approach?

A) Searching for the most environmentally focused utility companies is an example of a positive screen.

B) Best-in-class screening is often called impact investing.

C) Seeking to exclude companies with a diverse and independent board of directors is an example of negative screening.

Question #33 of 58

Question ID: 1674572

The equity portfolio of a retail investor consists solely of S&P 500 ETFs. Which of the following investments is the investor *most likely* to add to the portfolio to maximize potential risk diversification benefits in normal market conditions?

A) MSCI Emerging Markets ETFs.

B) SPDR Gold Shares ETFs.

C) FTSE 100 ETFs.

Question #34 of 58

Question ID: 1674576

A portfolio manager is considering investing in a start-up firm with a price-to-earnings (P/E) ratio of 42. The manager notes that the market P/E ratio is currently 25. Which of the following equity investment style boxes would *best* categorize this company?

A) Small-cap value.

B) Large-cap growth.

C) Small-cap growth.

Question #35 of 58

Question ID: 1674600

A global equity absolute return fund charges a fee of 20% of the outperformance in excess of a threshold return of 8%, subject to a high-water mark. This fee is *most likely*:

A) an incentive fee.

B) a platform fee.

C) a management fee.

Question #36 of 58

Question ID: 1674584

Zenith Investment Management Company has recently launched the Allstar fund that focuses on shares in frontier markets. The Allstar fund is *best* described as a fund segmented by:

A) economic activity.

B) geography.

C) size and style.

Question #37 of 58

Question ID: 1674592

A high-water mark is a:

A) feature to protect investors from paying performance fees twice.

B) level above which no performance fees are paid.

C) measure used to reduce trading costs.

Question #38 of 58

Question ID: 1674581

Some investors segment equity securities by economic activity. Which statement is correct with respect to this approach?

A) A market-oriented approach classifies equities based upon the economic areas from which cash flows are generated.

B) Regardless of the approach used, a company should terminate in the same Global Industry Classification Standard (GICS) category.

C) A production-oriented approach classifies equities based upon how products are used by customers.

Question #39 of 58

Question ID: 1674594

An investment analyst is evaluating portfolio costs related to buying and selling equity securities. Which of the following costs is an example of an implicit trading cost?

A) Stock exchange fees.

B) Price impact from trading.

C) Broker commissions.

Question #40 of 58

Question ID: 1674606

A portfolio analyst makes the following statements about the exercise of voting rights in shareholder engagement:

Statement 1:	When an investor borrows stock, voting rights are transferred from the stock lender to the investor (stock borrower).
Statement 2:	Empty voting enables the stock lender to keep the voting rights of the loaned stock in exchange for receiving a lower fee from the stock borrower.

Which of the analyst's statements is correct?

A) Statement 2 only.

B) Statement 1 only.

C) Both Statement 1 and Statement 2.

Question #41 of 58

Question ID: 1674590

You work for a large institutional investor that is engaged in securities lending. Which of the following statements regarding securities lending is *most accurate*?

A) The securities lender is entitled to all dividends paid while the securities are being lent.

B) The securities lender is entitled to all voting rights while the securities are being lent.

C) The securities lender typically collects a larger fee for loans of securities in developed markets versus securities in emerging markets.

Question #42 of 58

Question ID: 1674609

An investment adviser makes the following statements about the benefits of shareholder engagement:

Statement 1:	Relative to passive fund managers, shareholder engagement is a higher-priority activity for active fund managers.
Statement 2:	Shareholder engagement should focus on financial matters, rather than nonfinancial considerations such as a company's environmental, social, and governance (ESG) practices.

Which of the adviser's statements is correct?

A) Statement 2 only.

B) Both Statement 1 and Statement 2.

C) Statement 1 only.

Question #43 of 58

Question ID: 1674605

Ryan Wanne is an equity analyst who is preparing an educational presentation within the firm on shareholder engagement. Which of the following statements regarding the advantages of shareholder engagement should he include in the presentation?

A) Shareholder engagement that has pressured companies to adhere to environmental, social, and governance (ESG) criteria have consistently resulted in higher returns.

B) Successful shareholder engagement benefits all shareholders, not just the subset of shareholders who engage.

C) Index fund managers who are regularly involved in shareholder engagement have seen a clear improving trend of performance results.

Question #44 of 58

Question ID: 1674591

Your client is interested in less conventional approaches to capturing income linked to equity holdings. Which idea is one that you should discuss with this client?

A) A cash-covered put is a good option in a deeply downward-trending market.

B) A dividend capture strategy is a good idea for dividend-paying stocks in a range-bound market.

C) A covered call is a good option in an upward-trending market.

Question #45 of 58

Question ID: 1674586

A portfolio manager segments the equity universe by economic activity to enhance diversification opportunities across industries in her portfolios. If the manager prefers a market-oriented approach to segmentation by economic activity, she is *most likely* to analyze industries using:

A) the Industrial Classification Benchmark (ICB) system.

B) the Thomson Reuters Business Classification (TRBC) system.

C) the Global Industry Classification Standard (GICS) system.

Question #46 of 58

Question ID: 1674583

An equity fund invests in a diversified portfolio of U.S. equities that are in the S&P 500 Index, or equities with investment attributes and market capitalizations that are similar to those in the S&P 500 Index. The fund is *most likely* to be categorized as a large-cap:

A) value fund.

B) blend fund.

C) growth fund.

Question #47 of 58

Question ID: 1674571

An equity analyst makes the following statements about the role of equities in a multi-asset portfolio.

Statement 1:	Equities are likely to achieve better returns than other asset classes when the economy exhibits strong growth.
Statement 2:	Long-term returns on equities are mainly driven by stable dividend yields.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2.

B) Statement 1 only.

C) Statement 2 only.

Question #48 of 58

Question ID: 1674597

Which of the following statements about stock lending is correct?

Statement 1:	Dividends on the loaned stock are paid by the stock borrower to the stock lender as compensation for dividend payments made during the loan period.
Statement 2:	When the loaned stock is a special, the stock lender will generally agree only to an overnight loan because of the high demand for borrowing specials.

A) Statement 1 only.

B) Statement 2 only.

C) Both Statement 1 and Statement 2.

Question #49 of 58

Question ID: 1674614

Active equity portfolio management is *most likely* to be employed by an investment manager if she believes that:

A) she can outperform her benchmark.

B) stock markets are highly efficient.

C) portfolios should be positioned as closet index portfolios.

Question #50 of 58

Question ID: 1674607

The Luna fund invests in the shares of large-cap, value-oriented companies across the developed markets. One of the top 10 holdings of the fund is in Allkinds Insurance Company (Allkinds), which itself is a significant investor in the fund. This scenario *most likely*:

A) creates a potential conflict of interest for Allkinds, but not for the Luna fund.

B) does not create a potential conflict of interest.

C) creates a potential conflict of interest for the Luna fund, but not for Allkinds.

Question #51 of 58

Question ID: 1674615

An investment consultant makes the following statements about the characteristics of an active manager's choice of benchmark for an equity portfolio:

Statement 1:	It is essential that constituent stocks of the benchmark have ample liquidity.
Statement 2:	The benchmark should contain a broad range of stocks.

Are the consultant's statements correct?

A) The analyst is correct regarding Statement 1 only.

B) The analyst is correct regarding Statement 2 only.

C) Yes.

Question #52 of 58

Question ID: 1674599

An investor states that the direct costs of research are higher for actively managed funds than for passively managed funds, but that direct costs of portfolio management are higher for passively managed funds than for actively managed funds. Are the investor's statements accurate?

A) Yes.

B) The investor is correct about direct costs of research, but incorrect about direct costs of portfolio management.

C) The investor is correct about direct costs of portfolio management, but incorrect about direct costs of research.

Question #53 of 58

Question ID: 1674569

An investment advisor is considering the addition of equity securities to one of his client's portfolios. According to the client's investment policy statement, the client exhibits a low tolerance for risk and prefers stable portfolio income. Which type of equity security would be *most appropriate* given this client's investment considerations?

A) Small-cap technology company.

B) Mid-cap oil-producing company.

C) Large-cap consumer staples company.

Question #54 of 58

Question ID: 1674578

An equity manager is using a segmentation approach in managing an institutional investment portfolio. She invests mainly in large companies with a stable demand for their products and domiciled in developed countries. Her main concern is that she has overestimated the diversification benefit. Which segmentation approach is the equity manager *most likely* using?

A) Size and style.

B) Economic activity.

C) Geography.

Question #55 of 58

Question ID: 1674612

Which of the following statements regarding passive and/or active management is correct?

A) Passive management makes use of narrower and more limited benchmarks.

B) Both passive and active management are likely to be subject to key person risk.

C) Both passive and active management are likely to be subject to reputation risk.

Question #56 of 58

Question ID: 1674579

Which of the following items are benefits received by segmenting equity investments by both size and style?

A) This process enables static classification for a company.

B) This process enables assets to be grouped together for easier comparison to the S&P 500 Index as a general benchmark.

C) This process presents a granular opportunity for diversification.

Question #57 of 58

Question ID: 1674610

A trainee analyst makes the following notes related to shareholder engagement.

Note 1:	Shareholder engagement may cause a company to prioritize meeting short-term share price targets at the expense of long-term goals.
Note 2:	Proxy voting is commonly used in a company's general meetings and may enable minority shareholders to increase their influence at these meetings.

Which of the analyst's notes is correct?

A) Only Note 2.

B) Both Note 1 and Note 2.

C) Only Note 1.

Question #58 of 58

Question ID: 1674570

An investment analyst is addressing environmental, social, and governance (ESG) concerns for clients. Her goal is to recommend suitable investments by excluding companies from the equity investment universe that fail to meet client ESG standards. Which of the following screening techniques should be applied by the investment analyst?

A) Positive screening.

B) Thematic investing.

C) Negative screening.